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ANNEX

to the Commission Implementing Decision on the financing of the annual action plan in favour of Greenland for addressing global challenges in Greenland through economic diversification, green and digital transitions and resilience, for 2026 part 1

Action Document for “Addressing global challenges in Greenland: economic diversification, green and digital transitions and resilience”

This document constitutes the annual work programme within the meaning of Article 110(2) of the Financial Regulation, within the meaning of Article 23 of the NDICI-Global Europe Regulation.

1 SYNOPSIS

1.1 Action Summary Table

1. Title CRIS/OPSYS business reference Basic Act	Addressing global challenges in Greenland: economic diversification, green and digital transitions and resilience OPSYS number: ACT-63651 Financed under the Neighbourhood, Development and International Cooperation Instrument (NDICI-Global Europe) ¹
2. Team Europe Initiative	Yes
3. Zone benefiting from the Action	The Action shall be carried out in Greenland.
4. Programming document	NDICI-Global Europe ‘Global Challenges’ thematic programme – Multiannual Indicative Programme 2021-2027 ²
5. Link with relevant MIP(s) objectives / expected results	<u>Priority area 1: People</u> - Special objective 2: Education (result 1) - Special objective 3: Gender equality and women’s and girl’s empowerment (result 1) - Special objective 6: Social protection, inequality and inclusion (result 3) <u>Priority area 2: Planet</u> - Special objective 3: Green transition (results 1 & 4) <u>Priority area 3: Prosperity</u> - Special objective 1: Investment climate, private sector, decent work, employment and trade (results 1 & 3) - Special objective 3: Quality infrastructure and connectivity (result 1) - Special objective 5: Digital transformation (result 3) <u>Prosperity area 4: Partnerships</u> - Special objective 2: Stronger economic governance and inclusive societies (result 3)

¹ Regulation (EU) 2021/947 of the European Parliament and of the Council of 9 June 2021 establishing the Neighbourhood, Development and International Cooperation Instrument – Global Europe, amending and repealing Decision No 466/2014/EU and repealing Regulation (EU) 2017/1601 and Council Regulation (EC, Euratom) No 480/2009. [Regulation - 2021/947 - EN - EUR-Lex](#)

² NDICI-Global Europe ‘Global Challenges’ thematic programme – Multi-annual indicative programme 2021-2027. [mip-2021-c2021-9157-global-challenges-annex_en.pdf](#)

	<i>The combination of 'People', 'Planet', 'Prosperity' and 'Partnerships' objectives reflects an integrated approach addressing inequalities related to geographical remoteness, climate resilience, digital inclusion and investment-enabling conditions, in line with the Global Challenges MIP 2021–2027.</i>			
PRIORITY AREAS AND SECTOR INFORMATION				
6. Priority Area(s), sectors	Priority area 1: People Priority area 2: Planet Priority area 3: Prosperity Priority area 4: Partnerships			
7. Sustainable Development Goals (SDGs)	Main SDG: SDG 17 (“Partnerships for the Goals”) Other significant SDGs: - SDG 7 (“Affordable and Clean Energy”) - SDG 8 (“Decent Work and Economic Growth”) - SDG 9 (“Industry, Innovation and Infrastructure”) - SDG 10 (“Reduced Inequalities”) - SDG 11 (“Sustainable Cities and Communities”) - SDG 12 (“Responsible Consumption and Production”)			
8 a) DAC code(s)	22020 Telecommunications (24%) 23410 Hybrid energy plants (38%) 32200 Mineral Resources & Mining (14%) 32110 Industrial policy and administrative management (24%)			
8 b) Main Delivery Channel	10000 – Public Sector Institutions 12000 – National Government 30000 – Public-private partnerships (PPPs) and networks 60000 – Private sector institutions			
9. Targets	☐ Migration ☒ Climate ☒ Social inclusion and Human Development ☒ Gender ☐ Biodiversity ☐ Education ☐ Human Rights, Democracy and Governance			
10. Markers (from DAC form)	General policy objective @	Not targeted	Significant objective	Principal objective
	Participation development/good governance	☒	☐	☐
	Aid to environment @	☐	☒	☐
	Gender equality and women's and girl's empowerment	☐	☒	☐
	Reproductive, maternal, new-born and child health	☒	☐	☐
	Disaster Risk Reduction @	☒	☐	☐
	Inclusion of persons with Disabilities @	☒	☐	☐
	Nutrition @	☒	☐	☐
	RIO Convention markers	Not targeted	Significant objective	Principal objective
	Biological diversity @	☒	☐	☐

	Combat desertification @	☒	☐	☐
	Climate change mitigation @	☐	☒	☐
	Climate change adaptation @	☒	☐	☐
11. Internal markers and Tags:	Policy objectives	Not targeted	Significant objective	Principal objective
	Digitalisation @	☐	☒	☐
	digital connectivity	YES	NO	
	digital governance	☒	☐	
	digital entrepreneurship	☐	☒	
	digital skills/literacy	☐	☒	
	digital services	☐	☒	
	Migration @	☒	☒	☐
Reduction of Inequalities @	☐	☒	☐	
Covid-19	☒	☒	☐	
BUDGET INFORMATION				
12. Amounts concerned	Budget line(s) (article, item): - E.14020240 NDICI Global Challenges – People (EUR 646 600.80) - E.14020241 NDICI Global Challenges – Planet (EUR 7 106 288.93) - E.14020242 NDICI Global Challenges – Prosperity (EUR 9 529 148.14) - E.14020243 NDICI Global Challenges – Partnerships (EUR 3 867 962.13) Total estimated cost: EUR 21 150 000			
	Total amount of EU budget contribution EUR 21 150 000 of which			
	EUR 8 000 000 for budget support and			
	EUR 13 150 000 for complementary support.			
MANAGEMENT AND IMPLEMENTATION				
13. Implementation modality	Direct management through: - Budget Support: Sector Reform Performance Contract - Grants - Procurement			
	Indirect management with the entities to be selected in accordance with the criteria set out in section 4.4.3.			

1.2 Summary of the Action

This Action constitutes the first operational component of the EU–Greenland Investment Package announced by the President of the European Commission and contributes to the implementation of the renewed EU–Greenland partnership under the current Multiannual Financial Framework (MFF).

The Action supports Greenland’s green and digital transitions and economic diversification and resilience by combining **targeted infrastructure investments**, **investment-enabling support** and **institutional capacity strengthening**. It focuses on four complementary areas: satellite connectivity, renewable hybrid energy solutions in remote settlements, support to sustainable raw materials value chains, and the strengthening of Greenland’s capacity to prepare, coordinate and implement EU-supported programmes and investments and advance key policy areas of cooperation.

The Action contributes directly to the EU’s global objectives on climate mitigation, digital inclusion, resilience and secure value chains, in line with the Neighbourhood, Development and International Cooperation Instrument

(NDICI-Global Europe) Global Challenges Multiannual Indicative Programme (2021-2027) and the Global Gateway strategy. It complements existing EU instruments deployed in Greenland, including the Green Growth Programme under the Decision on the Overseas Association, including Greenland (DOAG)³, the Connecting Europe Facility (CEF) and Horizon Europe.

In the field of **digital connectivity**, the Action supports the reinforcement of geostationary (GEO) and low-earth orbit (LEO) satellite capacities in Greenland, with a focus on remote settlements. This will improve service quality, resilience and redundancy, while supporting the uptake of high-quality, secure and sustainable connectivity solutions in compliance with applicable regulatory frameworks and improve human security in remote areas where reliable connectivity is essential, for example for search and rescue support.

In the **energy sector**, the Action supports the deployment of Greenland's Energy Sector Plan focused on transitioning from a heavy reliance on imported oil, by supporting the deployment of hybrid diesel-photovoltaic-battery solutions in remote settlements currently dependent on diesel-based micro-grids. These solutions provide a cost-effective and technically mature pathway to reduce fuel consumption, greenhouse gas emissions and operational costs, while strengthening energy security and resilience. In line with Global Gateway principles, the Action promotes high environmental, social and cybersecurity standards and encourages diversified and resilient supply chains. To ensure full alignment with the Commission risks assessment, the financial support to the energy sector will be conditional on full alignment with the Commission's guidance on EU funding for inverters, as approved by the Commissioners' Project Group on Economic Security.

In the field of **raw materials**, through technical assistance, the Action supports the implementation of the EU-Greenland Partnership on raw materials, including by strengthening the enabling environment for sustainable raw materials value chains and their integration with EU industrial ecosystems, by facilitating exchanges between project promoters and relevant EU industries.

Finally, the Action aims at supporting the **strengthening of implementation and coordination functions within the Greenlandic administration** as an enabling mechanism to ensure effective delivery of relevant policy priorities of the EU-Greenland Partnership. This support mainly focuses on improving the preparation, coordination and monitoring of interventions across priority sectors of EU-Greenland cooperation, thereby enhancing delivery quality, coherence and institutional continuity as cooperation further expands.

The Action will be implemented in line with the Team Europe approach, in close coordination with the Governments of Greenland and Denmark, EU Member States, European International and Development Financial Institutions (IFIs/DFIs), Export Credit Agencies (ECA), and the EU private sector, as appropriate.

1.3 Zone benefitting from the Action

The Action shall be carried out in Greenland.

2 RATIONALE

2.1 Context

The President of the European Union announced, during her intervention at the 2026 World Economic Forum in Davos, the establishment of a new investment package for Greenland under the current Multiannual Financial Framework (2021-2027). In line with the spirit of the EU-Greenland Partnership, these investments will be focused on areas of mutual interest and align with existing policies and strategies.

³ Council Decision (EU) 2021/1764 of 5 October 2021 on the association of the Overseas Countries and Territories with the European Union including relations between the European Union on the one hand, and Greenland and the Kingdom of Denmark on the other. [Decision - 2021/1764 - EN - EUR-Lex](#)

The European Union is strengthening its role as a global actor in the delivery of the United Nations 2030 Agenda for Sustainable Development⁴ and the Paris Agreement⁵, encouraging partners to accelerate their efforts in support of the green and digital transitions, climate resilience and sustainable economic development. The decarbonisation of energy systems, the deployment of clean technologies, enhanced digital connectivity and the integration of resilient industrial and raw material value chains offer key opportunities to foster innovation, growth and resilience, while contributing to global climate objectives.

In this context, the EU has expanded its engagement with strategic and like-minded partners through bilateral and multilateral cooperation. Greenland represents a key partner with which the EU is seeking to deepen cooperation beyond traditional areas such as fisheries and education, in line with the Global Gateway strategy and the objectives of the NDICI–Global Europe instrument. New areas of cooperation include renewable energy, digital connectivity, raw materials, sustainable tourism, research, biodiversity and environmental protection. These areas have been identified throughout regular exchanges of the Commission’s services with Greenlandic authorities and Greenland-based stakeholders on green growth and connectivity-related topics. These exchanges have accelerated since the opening of the Commission’s Office in Nuuk in March 2024, and have been bolstered by the biannual policy dialogues and the organisation of business-oriented events, such as the EU-Greenland Week in November 2025 in Brussels.

Greenland is pursuing strategies to enhance climate resilience including through an ambitious agenda to increase the share of renewable energy in its energy mix, building of additional economic sectors that can help increase resilience in an economy where exports are almost exclusively from the fisheries sector. Tourism, raw materials, and renewable energy are sectors that have so far been identified. It is equally important for Greenland to provide comparable access to services throughout the country, including in remote and isolated settlements, for instance in terms of connectivity. Reliable connectivity is an essential precondition for human security and socio-economic development (e.g. search and rescue, telemedicine, remote education). It is also an important tool for developing new economic activities, such as tourism, for local communities that have seen their traditional livelihood of hunting and fishing drastically reduced as a consequence of climate change.

As Greenland faces many challenges, the need to enhance its small administration has been identified as a priority by Greenland to ensure the efficient use and deployment of domestic and external resources. In an enhanced EU-Greenland Partnership the need for coordination and planning is a pre-requisite for effective implementation and durable impact.

2.2 Lessons learnt

To support priorities areas including renewable energy, digital connectivity, raw materials, sustainable tourism, research, biodiversity and environmental protection in Greenland, the Commission has mobilised a range of instruments, including the Green Growth Programme under the DOAG, the CEF and Horizon Europe. These instruments have laid important foundations for expanded cooperation and investment-oriented engagement.

Through the Green Growth Programme, the EU has allocated EUR 22.5 million to support green growth objectives in Greenland, including project preparation in renewable energy, environmental protection initiatives and research activities.

In addition, the Connecting Europe Facility has supported the development of Greenland’s digital infrastructure through four grants for a total EUR 54.7 million for the Tusass Connect subsea cable project along Greenland’s west coast. Horizon Europe supports several research projects in Greenland, contributing to scientific cooperation and innovation capacity.

Experience from the Green Growth Programme, the CEF and Horizon Europe confirms the effectiveness of combining targeted infrastructure investments with technical assistance and capacity-building measures. These instruments have supported digital inclusion, climate mitigation, environmental protection, economic diversification and resilience in Greenland.

⁴ <https://sdgs.un.org/2030agenda>

⁵ https://unfccc.int/sites/default/files/english_paris_agreement.pdf

Technical assistance and budget support under the Green Growth Programme have contributed to strengthening the investment ecosystem, supporting the preparation of strategic infrastructure projects and ensuring alignment between economic development objectives and the protection of Arctic ecosystems. Grants under the CEF and Horizon Europe have been instrumental in improving the technical and financial feasibility of complex infrastructure and research initiatives.

At the same time, these experiences point to opportunities to further build on existing achievements. In the field of digital connectivity, while subsea cables have significantly strengthened connectivity on the west coast, satellite services continue to play a central role for many remote communities and critical services, where further improvements in service quality and resilience can deliver additional socio-economic benefits.

In the energy sector, the specific characteristics of remote settlements, including their scale and geographic conditions, make hybrid diesel-photovoltaic-battery systems particularly well-suited solutions. Experience from deployments already undertaken demonstrates their potential to significantly reduce diesel consumption while maintaining grid stability.

In the field of raw materials, Greenland's geological potential and policy ambition provide a strong basis for further development of sustainable value chains, connecting mines in Greenland with relevant EU industrial actors. Targeted technical assistance can support the maturation of projects, including by connecting them with European off takers, strengthening the enabling environment and facilitating structured engagement with markets under high environmental and social standards.

These lessons highlight the value of complementing existing instruments with targeted investment-enabling support and reinforced coordination capacity, as proposed under this Action.

2.3 Problem Analysis

Short problem analysis

Engagement with Greenlandic and European public and private stakeholders indicates that infrastructure investments in remote and Arctic contexts would benefit from additional risk-mitigation, project preparation and coordination support, particularly where projects are characterised by complex logistics, limited scale or innovative technical solutions. In Greenland, geographic remoteness, climatic conditions and market size are inherent contextual characteristics that shape investment decision-making.

In the energy and digital sectors, the combination of high upfront costs, specialised technical requirements and challenging operating environments calls for well-sequenced and coordinated approaches to project development and deployment, especially in remote settlements.

In the field of raw materials, while interest in Greenland's potential is growing, the development of sustainable value chains benefits from continued strengthening of regulatory, technical and coordination frameworks, in line with Greenlandic priorities and high Environmental, Social and Governance (ESG) standards.

Identification of main stakeholders and corresponding institutional and/or organisational issues (mandates, potential roles, and capacities) to be covered by the action

As EU–Greenland cooperation continues to broaden in scope and increasingly includes investment-oriented and infrastructure-based interventions, the scale and structure of the Greenlandic administration underline the value-added of targeted coordination and facilitation functions. Such support can enhance the effectiveness, coherence and timeliness of programme implementation, while fully preserving Greenland's ownership of policy and investment decisions.

2.4 Additional Areas of Assessment

This section focuses on the areas of this Action which may/will be tackled through budget support (see sections 4.3.1 and 4.4.4), mainly renewable energies.

2.4.1 Public Policy

In the field of green growth, the Government of Greenland has established a robust policy framework and continues to advance the implementation of key strategic initiatives relevant to the EU–Greenland partnership. These include, notably, the Sustainability and Growth Plan II (adopted in November 2023) and the Energy and Water Sector Plan (2017),⁶ alongside ongoing work on an updated sector plan for energy and green transition.

The Government of Greenland reports regularly on progress in the implementation of these initiatives through biannual EU–Greenland policy dialogue meetings and ad hoc technical exchanges with the Commission’s Office in Nuuk. These exchanges provide a structured forum to assess progress, discuss priorities and ensure alignment between Greenlandic strategies and EU-supported interventions.

The Sustainability and Growth Plan II sets out a comprehensive reform agenda aimed at strengthening long-term economic resilience and sustainability, with a focus on education and skills, economic diversification, future-proofing of the public sector, and reforms in taxation, welfare, housing and elderly care. The plan provides a credible strategic framework for addressing structural trends and supporting inclusive growth over the medium to long term across the country, including in remote and isolated settlements.

In the area of renewable energy, Greenland continues to pursue an ambitious transition agenda. The existing energy and water sector plan establishes clear objectives to increase the share of renewable energy, modernise energy systems and ensure affordable and reliable access to electricity and water across the territory. Nukissiorfiit, the publicly owned utility responsible for electricity, water and heat supply, plays a central role in implementing this strategy. Currently, approximately 70% of electricity supplied is based on renewable energy, primarily hydropower, and further progress is expected through ongoing and planned investments.

The effective and timely implementation of these policies is supported by a strong institutional framework and sustained political commitment. Targeted EU support under this Action is designed to accompany the rollout of national strategies, reinforce implementation capacity where appropriate and maximise the impact of existing policy efforts.

In conclusion, the policy is sufficiently relevant and credible for budget support contract objectives to be largely achieved. Therefore, the policy can be supported by the Commission with the proposed budget support contract.

2.4.2 Macroeconomic Policy

This assessment draws on the Government of Greenland’s Political Economic Report for 2025⁷ and the Greenland Economic Council’s Report for the second half of 2025,⁸ as well as key indicators related to the implementation of the Sustainability and Growth Plan II.

Greenland’s economy continues to demonstrate resilience, supported by sound macroeconomic management and prudent fiscal policies. Following several years of favourable performance driven by strong fisheries revenues and major infrastructure investments, economic growth has moderated, reflecting the natural completion of large construction projects and normalisation of external conditions. GDP growth has remained positive, with projections indicating moderate growth over the medium term.

Recent macroeconomic assessments indicate that Greenland is entering a period of weaker growth, with the 2025 forecast revised down to 0.2% amid declining fishing revenues and reduced shrimp quotas. Unemployment, after a prolonged low, has begun to rise, while inflation remains close to target and aligned with European trends.

⁶ Energy and Water Sector Plan, 2018, Government of Greenland. [Sektorplan-for-energi-og-vandforsyning_DK.pdf](#)

⁷ Political Economic Report, 2025, Government of Greenland. The Ministry of Finance, Government of Greenland.

⁸ Report 2nd half 2025, 2025, Greenland Economic Council.

Demographic trends represent a major structural challenge, as the rapidly ageing population is expected to place pressure on pension and healthcare systems while reducing the tax base.

The Government of Greenland continues to pursue a stability-oriented macroeconomic policy, underpinned by the objectives set out in the Sustainability and Growth Plan II. The plan aims to strengthen the foundations of public finances, diversify the economic base, enhance labour supply and skills, and reduce long-term vulnerabilities linked to sectoral concentration.

Inflationary pressures have eased following adjustments observed in recent years, and price developments remain closely monitored. Investment activity remains significant, particularly in infrastructure, including airport development and renewable energy projects, which are expected to support economic activity and connectivity in the coming years.

Fisheries remain a cornerstone of the economy and exports, with recent legislative reforms strengthening sustainability and resource management. At the same time, continued efforts are underway to foster economic diversification, including in tourism, renewable energy and raw materials, supported by evolving regulatory frameworks and investment initiatives.

The public sector plays an important role in Greenland's economic model, providing stability and continuity while supporting strategic investments. State-owned enterprises operate in key sectors such as transport, energy, telecommunications and logistics, contributing to service provision across the territory.

In conclusion, the authorities are pursuing a stability-oriented macroeconomic policy and the eligibility criterion is met.

2.4.3 Public Financial Management

Greenland's public financial management system continues to provide a solid framework for fiscal discipline, transparency and accountability. The Finance Act is prepared and implemented in accordance with the Budget Act, which establishes clear rules to ensure balanced budgets over the medium term and prudent expenditure growth.

The Budget Act requires a balance between income and expenditure over a four-year period and sets limits on the growth of operating and capital expenditure. These rules support fiscal sustainability and encourage efficiency in public spending. The Government of Greenland has demonstrated consistent commitment to these principles, supported by sound liquidity management and a strong net financial position.

Revenue performance has remained robust, supported by stable tax receipts and revenues from fisheries-related activities. Ongoing efforts to broaden the revenue base and strengthen domestic revenue mobilisation contribute to the resilience of public finances and support long-term sustainability.

The public financial management framework is further strengthened by regular reporting, internal controls and audit mechanisms. These arrangements provide a reliable basis for the use of budget support instruments and ensure that EU funds can be managed in line with the principles of sound financial management.

In conclusion, the public finance management reform strategy is sufficiently relevant and credible, including on domestic revenue mobilisation, and the eligibility criterion is met.

2.4.4 Transparency and Oversight of the Budget

The Government of Greenland ensures a high level of transparency and public access to budgetary information. Annual budgets are published in a timely manner and are accompanied by explanatory documents, forecasts and background analyses, enabling informed public and parliamentary scrutiny.

Budget proposals and supporting documentation are made publicly available in parallel with parliamentary discussions, and clear summaries are provided in both Danish and Greenlandic. This approach enhances transparency, supports public understanding of fiscal developments and strengthens democratic accountability.

The 2026 budget was approved by Parliament on 8 November 2025, and all relevant documentation was published accordingly. These practices provide a solid basis for transparency and oversight and are fully consistent with the requirements for budget support operations.

In conclusion, the relevant budget documentation has been published and the eligibility criterion is met.

3 DESCRIPTION OF THE ACTION

3.1 Objectives and Expected Outputs

The Overall Objective of this Action is to address global challenges in Greenland such as climate change and limited integration into the digital economy and global value chains, through economic diversification, green and digital transitions and strengthened resilience.

The Specific Objectives of the Action are to:

1. Support access of the Greenlandic population to reliable and resilient **digital connectivity**, particularly in remote areas.
2. Support the implementation of Greenland's **Energy Sector Plan** by increasing renewable energy use, reducing greenhouse gas emissions and enhancing energy security and resilience in remote settlements.
3. Support the **development of sustainable raw materials value chains** and integration with EU markets while fully respecting Greenlandic ownership, environmental and social safeguards and decision-making (ESG).
4. **Support the effective implementation of EU–Greenland cooperation priorities** across sectors through strengthened preparation, coordination and monitoring of interventions within the Greenlandic administration, including EU-supported actions, thereby enhancing delivery quality, coherence and continuity as cooperation expands.

The Outputs to be delivered by this action contributing to the corresponding Specific Objectives are:

Outputs contributing to Outcome 1 (or Specific Objective 1):

- 1.1. Increase in GEO satellite capacities in isolated areas of Greenland's west coast.
- 1.2. Increase in LEO satellite capacities in isolated areas of Greenland's west and east coasts.

These outputs will improve service quality, redundancy and resilience of satellite connectivity services, complementing existing subsea cable infrastructure and supporting digital inclusion, service delivery and socio-economic opportunities in remote communities.

Outputs contributing to Outcome 2 (or Specific Objective 2):

Induced output:

- 2.1. Measurable reduction in diesel fuel consumption and emissions.

Direct outputs:

- 2.2. Deployment of hybrid diesel-PV-battery solutions in remote settlements.
- 2.3. Promotion of high-quality, sustainable technologies consistent with EU environmental, social and cybersecurity standards.

Under this outcome, the Action supports the implementation of Greenland's Energy Sector Plan, which seeks to reduce reliance on imported fossil fuels while strengthening energy security and affordability. Hybrid diesel-PV-battery systems are particularly well-suited to the geographic and climatic conditions of remote settlements and enable an accelerated, cost-effective transition while maintaining grid stability.

Outputs contributing to Outcome 3 (or Specific Objective 3):

- 3.1. Identification and advisory support on raw materials value chain opportunities that can be developed in cooperation with EU private sector actors and financial institutions.
- 3.2. Facilitation of engagement between project promoters, financial stakeholders and potential offtakers through technical assistance and business facilitation activities.

Under this outcome, the Action focuses on strengthening the enabling environment, project preparation and market integration. The Action does not pre-select projects and fully respects Greenlandic ownership, regulatory frameworks and high environmental, social and governance standards.

Outputs contributing to Outcome 4 (or Specific Objective 4):

- 4.1.** Support the capacity of the Government of Greenland to implement EU funding.
- 4.2.** Strengthening of monitoring, reporting and performance tracking across EU-funded portfolios.

Under this outcome, the Action supports capacity building, with a view to enhance the Greenlandic administration's capacity to plan and coordinate international cooperation, including from the EU. Policy delivery and implementation support is conceived as a horizontal delivery instrument, supporting the implementation of relevant policy priorities of the EU–Greenland partnership across sectors such as energy, digital connectivity, raw materials, tourism and environment.

By reinforcing preparation, coordination and monitoring functions, capacity building contributes to more timely, coherent and effective delivery of EU-supported interventions. It is not an end in itself and does not substitute line ministries or national decision-making structures, but serves as an enabling mechanism to support policy implementation as cooperation expands.

3.2 Indicative Activities

- **Activities relating to Output 1.1:** Deployment of additional geostationary satellite capacities in Greenland to improve connectivity, resilience and service quality, particularly in remote settlements.
- **Activities relating to Output 1.2:** Deployment of additional low earth orbit satellite capacities in Greenland to complement existing infrastructure and enhance redundancy and coverage in remote areas.
- **Activities relating to (induced) Output 2.1:** Optimisation of system performance of new hybrid diesel-photovoltaic-battery systems, integration with existing grids and reduction of diesel consumption.
- **Activities relating to (direct) Output 2.2:** Deployment of hybrid diesel-photovoltaic-battery systems in selected remote settlements.
- **Activities relating to (direct) Output 2.3:** Measures related to operation, maintenance and performance monitoring of additional hybrid diesel-photovoltaic-battery systems.
- **Activities relating to Output 3.1:** Data gathering – including geological, technical, regulatory and market analysis –, knowledge management and capacity building, in cooperation with relevant public and private stakeholders.
- **Activities relating to Output 3.2:** Business facilitation and matchmaking activities, advisory services and preparatory work for potential investments.
- **Activities relating to Output 4.1:** Strengthening the operational capacity of the Government of Greenland capacity and mobilisation of external expertise for capacity building purposes, including to support studies in the field of environmental sustainability.
- **Activities relating to Output 4.2:** Strengthening sound monitoring, reporting and performance tracking mechanisms, including for EU-supported interventions.

The commitment of the EU's contribution to the Team Europe Initiative to which this action refers will be complemented by other contributions from Team Europe members. It is subject to the formal confirmation of each respective member's meaningful contribution as early as possible. In the event that the TEIs and/or these contributions do not materialise, the EU action may continue outside of a TEI framework.

3.3 Mainstreaming

Environmental Protection & Climate Change

Outcome of the Strategic Environmental Assessment (SEA) screening

The SEA screening concluded that environmental and climate-related aspects of this Action should be addressed primarily at the level of individual interventions. This approach reflects the diversified nature of the Action, which combines infrastructure investments, technical assistance and coordination support across different sectors. Environmental considerations will therefore be integrated at project design and implementation stages, ensuring proportionality and alignment with Greenlandic and EU environmental requirements. The Action contributes positively to climate mitigation objectives, notably through the deployment of hybrid renewable energy solutions and the reduction of fossil fuel use in remote settlements.

Outcome of the Environmental Impact Assessment (EIA) screening

The EIA screening classified this Action as Category B, not requiring a full EIA, but for which environmental aspects will be systematically addressed during the design and implementation of individual projects. For infrastructure-related activities, procurement specifications and contractual arrangements will integrate environmental safeguards, lifecycle considerations and waste management requirements, including for photovoltaic panels and battery systems. In the field of raw materials, any support provided will be conditional on compliance with high environmental standards, including robust environmental assessments at project level, in line with Greenlandic legislation and international best practices applicable to Arctic ecosystems.

Outcome of the Climate Risk Assessment (CRA) screening

The CRA concluded that this Action presents no or low climate risk and does not require further detailed assessment. On the contrary, the Action contributes positively to climate adaptation and resilience. The deployment of hybrid diesel-photovoltaic-battery solutions reduces exposure to fuel supply disruptions and price volatility, while enhanced satellite connectivity supports crisis response, emergency communications and service continuity in remote and climatically exposed areas.

Overall, the Action makes a direct and measurable contribution to climate mitigation and adaptation objectives, while ensuring that environmental risks are appropriately managed at project level.

Gender equality and empowerment of women and girls

As per the OECD Gender DAC codes identified in section 1.1., this action is labelled as G1. This implies that this Action contributes to gender equality and the empowerment of women and girls. By improving access to energy, digital connectivity and economic opportunities, the Action supports more inclusive participation in social and economic life, particularly in remote communities.

Enhanced digital connectivity facilitates access to education, health services, employment opportunities and support networks, including for women and girls. Implementing partners will be required to ensure equal opportunities, non-discrimination and gender-sensitive approaches in the design and implementation of activities supported under this Action.

Human Rights

The Action applies a human rights-based approach across all its components. Particular attention will be paid to inclusive consultation processes, respect for indigenous peoples' rights and meaningful engagement with local communities.

Activities supported under this Action will be designed and implemented in a manner that respects fundamental rights and promotes social inclusion. Enhanced access to digital services and reliable energy supply is expected to support access to information, public services and participation in economic and social activities.

Disability

As per OECD Disability DAC codes identified in section 1.1. this Action is labelled D0. This implies that this Action contributes indirectly to the inclusion of persons with disabilities. Improved digital connectivity enables access to telemedicine, online education and remote work opportunities, which are particularly relevant in remote settlements. Wherever feasible, implementing partners will promote accessibility and inclusive participation, including in consultation processes and employment opportunities linked to supported activities.

Reduction of inequalities

This Action is labelled as making a significant contribution to the reduction of inequalities (I-1). By improving access to energy, connectivity and investment opportunities in remote and sparsely populated areas, the Action directly addresses inequalities related to geographic remoteness and access to services.

Support to sustainable economic activities, including renewable energy deployment and raw materials value chains, is expected to contribute to job creation and fiscal revenues over the medium to long term, supporting broader socio-economic development across Greenland.

Democracy

Through its support to effective policy implementation and coordination, the Action contributes to sound governance and institutional resilience. The resort to horizontal capacity building supports transparent, coordinated and accountable delivery of EU-supported interventions, without substituting national decision-making structures.

Implementing partners will be required to adhere to the principles of sound financial management, transparency and accountability, including proportionate anti-fraud measures.

Conflict sensitivity, peace and resilience

The Action contributes positively to resilience by strengthening critical infrastructure, enhancing service continuity and supporting inclusive socio-economic development in remote areas.

Disaster Risk Reduction

The Action contributes to disaster risk reduction objectives, notably through enhanced satellite connectivity, which supports early warning systems, emergency communications and coordination of response efforts in case of natural disasters or infrastructure disruptions. Improved energy resilience in remote settlements further strengthens preparedness and continuity of essential services under adverse conditions.

Other considerations if relevant

No additional cross-cutting issues have been identified at this stage.

3.4 Risks

Category	Risks	Likelihood (High/ Medium/ Low)	Impact (High/ Medium/ Low)	Mitigating measures
Satellites – External environment	Security risks related to the strategic nature of satellite communications, including cyber threats.	L	M	Promotion of secure and resilient connectivity solutions, alignment with EU cybersecurity standards, and consideration of synergies with the Infrastructure for Resilience, Interconnectivity and Security by Satellite (IRIS ²) programme to strengthen resilience.
Satellites – Financial risks	Medium-term sustainability of satellite services beyond the initial deployment period.	L	M	Early coordination with Greenlandic and other relevant stakeholders to identify viable continuation solutions, supported by policy dialogue and

				alignment with long-term connectivity strategies.
Energy – Planning and implementation	Logistical complexity and Arctic operating conditions may affect deployment timelines.	M	H	Phased implementation, seasonal planning and reliance on experienced contractors with Arctic deployment expertise.
Energy – Technical performance	Performance and lifecycle management of batteries in Arctic conditions.	M	M	Robust technical specifications, lifecycle and maintenance requirements, and monitoring of operational performance.
Energy – Strategic alignment	Ensuring coherence between EU-supported deployments and Greenland's Energy Sector Plan.	L	M	Close coordination with Greenlandic authorities and Nukissiorfiit to ensure alignment with national planning and priorities.
Raw materials – External environment	High public sensitivity of extractive activities in Arctic contexts.	L	M	Full alignment with Greenlandic policies, transparent communication, and strict adherence to ESG standards and environmental safeguards.
Raw materials – Social acceptance	Community concerns during exploration or project development phases.	L	M	Early and continuous stakeholder engagement led by project promoters, in line with Greenlandic requirements and best practices.
Raw materials – Environmental	Environmental risks inherent to Arctic ecosystems.	M	H	Requirement for robust environmental assessments at project level and compliance with Greenlandic and international environmental standards.
Capacity building – Institutional anchoring	Need for clarity on mandate and coordination role.	L	M	Clear definition of facilitation and delivery-support role, formal anchoring within Greenlandic administration and high-level political endorsement.
Capacity building – Implementation	Recruitment and retention of specialised expertise.	L	M	Hybrid model combining national experts and external expertise.
Capacity building – Reputational	Perception of excessive external influence. Risk of inefficiency or disproportionate administrative costs if the structure is not carefully calibrated.	L	M	Prioritise recruitment of qualified local staff where available and pair international experts with local counterparts.

3.5 The Intervention Logic

The intervention logic of this Action reflects the evolution of EU–Greenland cooperation towards a more investment-oriented and delivery-focused partnership.

Targeted infrastructure investments in digital connectivity and renewable energy directly support the implementation of Greenlandic policies and strategies, delivering tangible benefits in terms of service quality, resilience and sustainability. In parallel, investment-enabling technical assistance and facilitation mechanisms support the maturation of sustainable raw materials value chains and structured engagement with markets.

Effective delivery of these interventions is supported by horizontal capacity building. By strengthening preparation, sequencing, monitoring and coordination functions, this implementation support enhances the Government of Greenland’s administrative capacities, and therefore policy implementation across sectors.

Together, these elements contribute to reducing implementation risks, improving coherence and maximising the impact of EU support, while fully respecting Greenlandic ownership and decision-making.

3.6 Logical Framework Matrix

This indicative logical framework constitutes the basis to design more detailed logical framework matrix(-ces) at contracting which will be used for monitoring, reporting and evaluation. The logical framework matrix(-ces) at contract level should include relevant indicators identified in this section.

The expected outputs and related indicators (with baselines and targets) may be updated during the implementation of the Action, no amendment being required to the Financing Decision.

In case baselines and targets are not available for the Action at the time of adoption of the Financing Decision, they should be provided for each indicator at signature of the contract(s) linked to this Financing Decision, or in the first progress report at the latest. New columns may be added to set intermediary targets for the output and outcome indicators whenever relevant.

PROJECT MODALITIES						
Results	Results chain (@): Main expected results (maximum 10)	Indicators (@): (at least one indicator per expected result)	Baselines (values and years)	Targets (values and years)	Sources of data	Assumptions
Impact (Overall Objective)	OO. Address global challenges in Greenland through economic diversification, green and digital transitions, and strengthened resilience.	1/ Improved availability and resilience of satellite connectivity services in targeted remote areas (portfolio level). 2/ Greenhouse Gas (GHG) emissions avoided (tonnes CO2eq) with EU support 3/ Number of mining projects reaching financial investment decision phase following EU support. 4/ Number of digital/energy/raw materials infrastructure projects financially backed by the EU reaching implementation stage.	1/ Baseline to be defined. 2/ Baseline to be defined. 3/ 0 (2026) 4/ 1 (2026)	1/ Baseline to be defined. 2/ Baseline to be defined. 3/ 2 (2030) 4/ 3 (2030)	Data from partner country, Public Telecom Company, Public Energy Company, other service providers/companies and implementing partners.	<i>Not applicable</i>
OUTCOMES						
Outcome 1	Support access of the Greenlandic population to reliable and resilient digital connectivity, particularly in remote areas.	Average end-user speed for people depending on satellite capacities.	Baseline to be defined.	Baseline to be defined.	Data from partner country and implementing partners.	The deployment of the satellite connectivity package neither faces significant delays nor technical/financial challenges.
Outcome 2	Support the implementation of Greenland's Energy Sector Plan by increasing renewable energy use, reducing greenhouse gas emissions and enhancing energy security and resilience in remote settlements.	Hybrid diesel-PV-battery systems operational in targeted remote settlements (portfolio level). Measurable reduction in diesel consumption for electricity generation in supported settlements.	Baseline to be defined.	Baseline to be defined.	Data from partner country and implementing partner.	The deployment of hybrid energy solutions neither faces significant delays nor technical/financial challenges.
Outcome 3	Support the development of sustainable raw materials value chains and integration	Number of raw materials projects or value chains initiatives reaching advanced	0 (2026)	5 (2030)	Data from partner country, companies and	Continued investor interest and regulatory stability.

	with EU markets while fully respecting Greenlandic ownership, environmental and social safeguards and decision-making (ESG).	preparation or market-readiness stages with EU support.			implementing partner.	
Outcome 4	Support the effective implementation of EU–Greenland cooperation priorities across sectors through strengthened preparation, coordination and monitoring of interventions within the Greenlandic administration, including EU-supported actions, thereby enhancing delivery quality, coherence and continuity as cooperation expands.	Operational preparation, coordination and monitoring arrangements supporting EU-funded interventions across sectors. Regular consolidated reporting on implementation progress of EU-supported interventions.	0 (2025)	1 (2027)	Programme reports, policy dialogue records	The Commission and the Government of Greenland maintained sustained engagement by relevant authorities.
OUTPUTS (for an action implemented as a project)						
Output 1 relating to Outcome 1	1.1. Increase in GEO satellite capacities in isolated areas of Greenland’s west coast.	Additional GEO capacities in Greenland.	Baseline to be defined.	Baseline to be defined.	Data from partner country and implementing partner.	The deployment of the GEO satellite capacities neither faces significant delays nor technical/financial challenges.
Output 2 relating to Outcome 1	1.2. Increase in LEO satellite capacities in isolated areas of Greenland’s west and east coasts.	Additional LEO capacities in Greenland.	Baseline to be defined.	Baseline to be defined.	Data from partner country and implementing partner.	The deployment of the LEO satellite capacities neither faces significant delays nor technical/financial challenges.
Output 1 related to Outcome 3	3.1. Identification and advisory support on raw materials value chain opportunities that can be developed in	Number of investment opportunities identified.	2 (2026)	6 (2027)	Data from partner country, companies and implementing partners.	Continued investor interest and regulatory stability.

	cooperation with EU private sector actors and financial institutions.					
Output 2 related to Outcome 3	3.2. Facilitation of engagement between project promoters, financial stakeholders and potential offtakers through technical assistance and business facilitation activities.	Number of projects having received EU support in the form of technical assistance (matchmaking events, advisory services, etc.).	2 (2026)	4 (2027)	EU internal reporting, data from companies and implementing partners.	Continued investor interest and regulatory stability.
Output 1 related to Outcome 4	4.1. Support to the identification, prioritisation and preparation of projects aligned with Greenlandic policy priorities, including support to studies in the field of environmental sustainability.	Recruitment of staff and/or mobilisation of external expertise dedicated to the implementation of the policy delivery and implementation support component of this Action. Preparation of studies in the field of environmental sustainability.	Baseline to be defined.	Baseline to be defined.	EU internal reporting, data from implementing partners.	The Commission and the Government of Greenland maintained sustained engagement by relevant authorities.
Output 2 related to Outcome 4	4.2. Strengthening of monitoring, reporting and performance tracking across EU-funded portfolios.	Establishment of reporting mechanisms.	Baseline to be defined.	Baseline to be defined.	Data from partner country and implementing partners.	The Commission and the Government of Greenland maintained sustained engagement by relevant authorities.
OUTPUTS (for an action implemented as budget support)						
Induced output to Outcome 2	2.1. Measurable reduction in diesel fuel consumption and emissions.	Consumption of diesel in remote settlements dependent on diesel micro-grids.	Baseline to be defined.	Baseline to be defined.	Data from partner country and implementing partner.	Timely procurement, construction and commissioning.
Direct outputs to Outcome 2	2.2. Deployment of hybrid diesel-PV-battery solutions in remote settlements.	2.2. Number of remote settlements equipped with a hybrid diesel-PV-battery solution.	2.2. 17 (2025) 2.3. Baseline to be defined	2.2. 24 (2028) 2.3. Baseline to be defined	2.2. Data from partner country and implementing partner.	2.2. Timely procurement, construction and commissioning.

	2.3. Promotion of high-quality, sustainable technologies consistent with EU environmental, social and cybersecurity standards.	2.3. Uptake of technologies abiding by EU environmental, social and cybersecurity standards.			2.3. Data from partner country and implementing partner.	2.3. Incentives are strong enough to encourage higher technological standards.
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4 IMPLEMENTATION ARRANGEMENTS

4.1 Financing Agreement

In order to implement this Action, it is envisaged to conclude a financing agreement between the European Commission and the Government of Greenland.

4.2 Indicative Implementation Period

The indicative operational implementation period of the Action, during which the activities described in Section 3 will be carried out and the corresponding contracts and agreements implemented, is **96 months** from the date of entry into force of the financing agreement.

Extensions of the implementation period may be agreed by the Commission's responsible Authorising Officer by amending this Financing Decision and the relevant contracts and agreements.

4.3 Implementation of the Budget Support Component

4.3.1 Rationale for the Amounts Allocated to Budget Support

The amount allocated for the budget support component is EUR 8 000 000, and for complementary support is EUR 13 150 000.

This amount is based on the need to support the fulfilment of Outcome 2, namely increasing renewable energy use, reducing greenhouse gas emissions, and enhancing energy security and resilience in remote settlements through the implementation of Greenland's Energy Sector Plan, while promoting high environmental, social and supply-chain standards consistent with EU priorities.

Budget support allows EU contributions to be linked to clearly defined and verifiable milestones and supports the effective implementation of agreed policy priorities. Through direct financial support to partner authorities in Greenland, it contributes to the timely delivery of projects of public interest and facilitates the roll-out of agreed interventions. As an established instrument within the EU–Greenland Partnership, budget support is well understood by the Greenlandic authorities and provides a predictable and efficient framework for cooperation. Its use supports coherence with existing cooperation modalities and contributes to the effective and sustainable delivery of EU-supported actions, in line with both Greenlandic and EU priorities.

4.3.2 Criteria for Disbursement of Budget Support

a) Conditions

The general conditions for disbursement of all tranches are as follows:

- Satisfactory progress in the implementation of Greenland's energy and water sector policy framework, including the Energy and Water Sector Plan and, where applicable, its future updates, and continued credibility and relevance thereof or of the subsequent policy.
- Maintenance of a credible and relevant stability-oriented macroeconomic policy or progress made towards restoring key balances.
- Satisfactory progress in the implementation of reforms to improve public financial management, including domestic revenue mobilisation, and continued relevance and credibility of the reform programme.
- Satisfactory progress with regard to the public availability of accessible, timely, comprehensive and sound budgetary information.

- b) The performance indicators for disbursement to be used for variable tranches may focus on the following policy priorities:
- The hybrid diesel-photovoltaic-battery programme has reached an advanced implementation stage at portfolio level.
 - A substantial share of the planned hybrid diesel-photovoltaic-battery systems has been physically deployed at portfolio level.
 - The hybrid systems are commissioned and operational at portfolio level, delivering renewable electricity and contributing to reduced diesel consumption.
 - The deployment of hybrid solutions has relied on technologies, services and supply chains consistent with EU standards, in compliance with applicable procurement rules and remains in full alignment with the Commission's guidance on EU funding for inverters, as approved by the Commissioner's Project Group on Economic Security.
- c) Modifications

The chosen performance indicators and targets to be used for the disbursement of variable tranches will be subject to approval by the Government of Greenland and will apply for the duration of the Action. However, in duly justified cases, the partner country and the Commission may agree on changes to indicators or on upward/downward revisions of targets. Such changes shall be authorised in writing ex-ante, at the latest at the beginning of the period under review applicable to the indicators and targets.

In exceptional and/or duly justified cases, for instance where unexpected events, external shocks or changing circumstances have made the indicator or the target irrelevant and could not be anticipated, a variable tranche indicator may be waived. In these cases, the related amount could either be reallocated to the other indicators of the variable tranche the same year or be transferred to the next variable tranche the following year (in accordance with the original weighting of the indicators). It could also be decided to re-assess an indicator the following year against the original target, if there was a positive trend and the authorities did not reach the target because of factors beyond their control. The use of this provision shall be requested by the partner country and approved in writing by the Commission.

d) Fundamental values

In case of a significant deterioration of fundamental values, budget support disbursements may be suspended, reduced or cancelled, in accordance with the relevant provisions of the financing agreement.

4.3.3 Budget Support Details

Budget support is provided as direct untargeted budget support to the national treasury. The crediting of the euro transfers disbursed into Danish Krone will be undertaken at the appropriate exchange rate in line with the relevant provisions of the financing agreement.

The following disbursement calendar and profile proposed for the Action is indicative. The actual disbursement calendar and profile will be set out in the financing agreement and may remain subject to change.

Country fiscal year and quarterly breakdown	2027				2028				2029				Total in MEUR
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	
Fixed tranche in MEUR	2 000 000												2 000 000
Variable tranche in MEUR				2 000 000			3 000 000			1 000 000			6 000 000

Total	in	2		2		3		1		8 000
EUR		000		000		000		000		000

4.4 Implementation Modalities

The Commission will ensure that the EU rules and procedures for providing financing to third parties are respected, including review procedures, where appropriate, and compliance of the Action with EU restrictive measures⁹.

4.4.1 Direct Management (Grants)

a) Purpose of the grant(s)

A part of this Action may be implemented through an operating grant, to exceptionally provide support to the Government of Greenland to facilitate policy delivery and implementation. This entails the implementation of activities relative to **Outcome 4**.

b) Type of applicants targeted

Applicants must be ministries or public bodies falling under the responsibility of the Government of Greenland.

c) Justification of a direct grant

Under the responsibility of the Commission's authorising officer responsible, the grant may be awarded without a call for proposals to ministries or public bodies falling under the responsibility of the Government of Greenland, selected using the following criteria: Capacity to take on an interservice role, to strengthen preparation, coordination and monitoring of interventions within the Greenlandic administration, including EU-supported actions.

Under the responsibility of the Commission's authorising officer responsible, the recourse to an award of a grant without a call for proposals is justified on the basis of Article 198c of the Financial Regulation, bodies with a de jure monopoly. Indeed, the Government of Greenland is legally responsible of its administration and of the public policies covered by the EU-Greenland cooperation agenda, in line with the 2009 Act on Greenland's Self-Government.¹⁰ As regards the specific entity within or attached to the Government of Greenland which will receive the funding, it will be defined by the latter in close coordination with the Commission, based on the Government of Greenland's own rules and administrative arrangements, and on the capacity of the selected entity to comply with the criteria listed in this section.

The part of the action under the budgetary envelope reserved for grants may, partially or totally and including where an entity is designated for receiving a grant without a call for proposals, be implemented in indirect management with an entity, which will be selected by the Commission's services using the criteria defined in section 4.4.1.c above.

4.4.2 Direct Management (Procurement)

This Action can be implemented in direct management (procurement) for the activities foreseen under **Outcome 1**, and for the technical assistance necessary for a part of the implementation of **Outcome 4**.

The nature of the consultancy services to be provided can be outsourced by the Commission as the outsourced tasks do not involve the exercise of public authority and discretionary powers of judgement. This procurement

⁹ www.sanctionsmap.eu. Please note that the sanctions map is an IT tool for identifying the sanctions regimes. The source of the sanctions stems from legal acts published in the Official Journal (OJ). In case of discrepancy between the published legal acts and the updates on the website it is the OJ version that prevails.

¹⁰ Act on Greenland's Self-Government, 2009. [Act No 473 of 12 06 2009](#)

will not make the Commission or the Partner Country overly dependent on the selected service provider. The services at stake will be better delivered by the service provider for the following reasons (not exhaustive, possibly cumulative):

- The high level of specialisation required is not available internally;
- The urgency to acquire certain skills not available internally;
- The need for flexibility to address volatile needs.

The recourse to external consultancy services is required to meet the action's objectives and operational needs because it will balance ownership and sustainability with operational flexibility of the delivery and implementation support component of this Action, through the timely mobilisation of specialised expertise in support of the preparation, coordination and monitoring of EU-supported interventions.

4.4.3 Indirect Management with an entrusted entity

A part of this action may be implemented in indirect management with an entity which will be selected by the Commission's services using the following criteria:

- Capacity to mobilise expertise in the fields of technical assistance and raw materials value chains.
- Capacity to mobilise expertise in Greenland.

The implementation by this entity entails the execution of activities relative to **Outcome 3**.

4.4.4 Changes from indirect to direct management mode (and vice versa) due to exceptional circumstances

If the implementation modality under direct management (budget support) as defined in section 4.3. for **Outcome 2** cannot be implemented due to circumstances beyond the control of the Commission, the modality of implementation by indirect management with an entrusted entity would be used. The entity would be selected using the following criteria:

- Capacity to mobilise expertise in the fields of investment grants, renewable energies and hybrid energy solutions.
- Capacity to mobilise expertise in Greenland.

If the implementation modality under direct management (grants) as defined in section 4.4.1 for **Outcome 4** and/or the implementation modality under direct management (procurement) as defined in the section 4.4.2 for the same outcome cannot be implemented due to circumstances beyond the control of the Commission, activities under this outcome can be partially implemented via direct management (budget support) according to the following:

- The general conditions for disbursement of all tranches as defined in section 4.3.2 would apply – the policy whose satisfactory progress would be monitored would be in this case the Sustainability and Growth Plan II.
- The performance indicators to be used for variable tranches may focus on the following priorities:
 - o Establishment of operational arrangements supporting the effective implementation of EU-Greenland cooperation priorities.
 - o Effective functioning of these implementation and coordination arrangements.
- The sections 4.3.2 (c) and 4.3.2(d) would apply.
- The section 4.3.3 would apply, except the indicative disbursement calendar. The following indicative disbursement calendar would apply.

Country fiscal year and quarterly breakdown	Year 2 (2027)				Year 3 (2028)				Year 4 (2029)				Total in MEUR
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	
Fixed tranche in MEUR			1 000 000										1 000 000
Variable tranche in MEUR							1000 000				1 000 000		2 000 000
Total in MEUR			1000 000				1 000 000				1000 000		3 000 000

If the implementation modality under direct management (grant) as defined in section 4.4.1 for **Outcome 4** and/or the implementation modality under direct management (procurement) as defined in the section 4.4.2 for the same outcome cannot be implemented due to circumstances beyond the control of the Commission, activities under this outcome can be partially implemented via direct management (grant) according to the following:

a) Purpose of the grant(s)

The grant may take the form of Twinning grant(s) for the implementation of Twinning project(s) related to the fulfilment of Outcome 4, and to compensate the costs of Member State(s) for the deployment of experts and other activities included in the Twinning project terms of reference ("Twinning Fiche"). This implementation modality for activities under Outcome 4 would foster peer-to-peer cooperation between EU and Greenlandic public administrations, contributing therefore to the deepening of the EU-Greenland cooperation beyond pure transfer of skills and experience sharing.

b) Type of applicants targeted

Twinning grant(s) would be awarded to Member State public administrations or their mandated bodies.

4.5 Scope of geographical eligibility for implementing this Action for procurement and grants

The geographical eligibility in terms of place of establishment for participating in procurement and grant award procedures and in terms of origin of supplies purchased as established in the basic act and set out in the relevant contractual documents shall apply subject to the following provisions.

The Commission's Authorising Officer responsible may extend the geographical eligibility on the basis of urgency or of unavailability of services in the markets of the countries or territories concerned, or in other duly substantiated cases where application of the eligibility rules would make the realisation of the Action impossible or exceedingly difficult (Article 28(10) NDICI-Global Europe Regulation).

4.6 Indicative Budget

	2026
Indicative Budget components	EU contribution (amount in EUR)
Implementation modalities – cf. section 4	
Specific Objective 1	EUR 5 150 000
Direct management (procurement) – cf. section 4.4.2	EUR 5 150 000
Specific Objective 2	EUR 8 000 000
Budget support – cf. section 4.3	EUR 8 000 000

Specific Objective 3	EUR 3 000 000
Indirect management with entrusted entity– cf. section 4.4.3	<i>EUR 3 000 000</i>
Specific Objective 4	EUR 5 000 000
Direct management (grant) – cf. section 4.4.1	<i>EUR 2 500 000</i>
Direct management (procurement) – cf. section 4.4.2	<i>EUR 2 500 000</i>
Evaluation – cf. section 5.2	To be covered by another decision
Audit – cf. section 5.3	
Totals	EUR 21 150 000

4.7 Organisational Set-up and Responsibilities

A steering committee involving concerned Greenlandic ministries and the European Commission and other interested entities will be set up to oversee the implementation of the Action, to improve coordination, to exchange on arising challenges and ensure close monitoring and coherence. Those are to be defined in the financing agreement but could include international financing institutions to improve access to finance, as well as, on an ad-hoc basis and for consultations, the private sector and civil society organisations, including those representing women in all their diversity and persons with disabilities). The composition of the steering committee shall strive for equal representation of women and men in the committee.

In addition to the Steering Committee, the biannual EU-Greenland Policy Dialogues will be used to take stock of implementation. During these dialogue meetings, the Government of Greenland presents updates on performance of the sectors supported, Greenland's macroeconomic situation and reform of the public finance management system. Following these meetings, an Aide Memoire is prepared and mutually agreed. Continuous exchanges and consultations are being reinforced by the European Commission Office in Nuuk.

As part of its prerogative of budget implementation and to safeguard the financial interests of the Union, the Commission may participate in the above governance structures for governing the implementation of the Action and may sign or enter into joint declarations or statements, for the purpose of enhancing the visibility of this Action and ensuring effective coordination.

5 PERFORMANCE MEASUREMENT

5.1 Monitoring and Reporting

The day-to-day technical and financial monitoring of the implementation of this Action will be a continuous process, and part of the implementing partner's responsibilities. To this aim, the implementing partner shall establish a permanent internal, technical and financial monitoring system for the Action and elaborate regular progress reports (not less than annual) and final reports. Every report shall provide an accurate account of implementation of the Action, difficulties encountered, changes introduced, as well as the degree of achievement of its results (Outputs and direct Outcomes) as measured by corresponding indicators, using as reference the logframe matrix (for project modality) and the partner's strategy, policy or reform action plan list (for budget support).

The Commission may undertake additional project monitoring visits both through its own staff and through independent consultants recruited directly by the Commission for independent monitoring reviews (or recruited by the responsible agent contracted by the Commission for implementing such reviews).

Roles and responsibilities for data collection, analysis and monitoring:

Implementing partners will be responsible for the collection, analysis and reporting of data related to the indicators defined in the logical framework. Data sources may include administrative data, reports from national authorities, utility companies, project promoters and other relevant stakeholders.

The capacity building component of this Action will support coordination of data collection across sectors and facilitate consolidated reporting on EU-supported interventions, without duplicating existing reporting obligations of line ministries or implementing partners.

For the budget support component of this Action, the statistical and monitoring systems as well as the quality of official data in the policy fields covered have been assessed. This assessment had fed into the design of the action as follows. Monitoring and reporting will rely on agreed performance indicators and milestones and regular assessment of progress against the conditions set out in the financing agreement. The Commission will review reports, assess performance and ensure follow-up through day-to-day management of the cooperation, policy dialogue and implementation support, as appropriate.

5.2 Evaluation

Having regard to the nature of the Action, a final evaluation may be carried out for this Action or its components via independent consultants or via an implementing partner.

It will be carried out for accountability and learning purposes at various levels (including for policy revision), taking into account in particular the external dimension of EU policies, including the EU's cooperation agenda under the Global Gateway strategy.

The evaluation of the budget support component of this Action may be performed individually or through a joint strategic evaluation of budget support operations carried out with the partner country, other budget support providers and relevant stakeholders.

As for the evaluation of the other components of this Action, the Commission shall inform the implementing partner at least two months in advance of the dates envisaged for the evaluation missions. The implementing partner shall collaborate efficiently and effectively with the evaluation experts and inter alia provide them with all necessary information and documentation, as well as access to the project premises and activities.

The evaluation reports may be shared with the partners and other key stakeholders following the best practice of evaluation dissemination¹¹. The implementing partner and the Commission shall analyse the conclusions and recommendations of the evaluations and, where appropriate, apply the necessary adjustments. The financing of the evaluation may be covered by another measure constituting a Financing Decision.

Evaluation services may be contracted under a framework contract.

The financing of the evaluation may be covered by another measure constituting a Financing Decision.

5.3 Audit and Verifications

Without prejudice to the obligations applicable to contracts concluded for the implementation of this Action, the Commission may, on the basis of a risk assessment, contract independent audit or verification assignments for one or several contracts or agreements.

6 STRATEGIC COMMUNICATION AND PUBLIC DIPLOMACY

The 2021-2027 programming cycle will adopt a new approach to pooling, programming and deploying strategic communication and public diplomacy resources.

In line with the 2022 “[Communicating and Raising EU Visibility: Guidance for External Actions](#)”, it will remain a contractual obligation for all entities implementing EU-funded external actions to inform the relevant audiences of the Union's support for their work by displaying the EU emblem and a short funding statement as

¹¹ See best [practice of evaluation dissemination](#)

appropriate on all communication materials related to the actions concerned. This obligation will continue to apply equally, regardless of whether the actions concerned are implemented by the Commission, partner countries, service providers, grant beneficiaries or entrusted or delegated entities such as UN agencies, international financial institutions and agencies of EU member states.

However, action documents for specific sector programmes are in principle no longer required to include a provision for communication and visibility actions promoting the programmes concerned. These resources will instead be consolidated in Cooperation Facilities established by support measure action documents, allowing Delegations to plan and execute multiannual strategic communication and public diplomacy actions with sufficient critical mass to be effective on a national scale.